

Question 22 · Unit 2 · 8 Marks

Explain performance appraisal as an HRD subsystem and state its importance for employee development.

Introduction

A subsystem is a part of a larger system that has its own work but exists for the system's purpose. Performance appraisal as an HRD subsystem means a planned, usually periodic, discussion of how well an employee has done, which behaviours helped or hurt, and what learning should follow. This is different from a secret number used only to decide bonus or punishment.

If appraisal does not develop the person, it is not yet an HRD subsystem — it is only an administrative ritual. Many Indian employees say 'appraisal does not help us grow'. This question asks you to explain the HRD version and why that version matters for development.

Detailed points

- 1. Meaning of appraisal in HRD.** It is a cycle: understand the role, set goals, review results and competencies against those goals, give and receive feedback, and write an individual development plan (IDP). Both boss and employee prepare. The spirit is 'how do we improve together', not 'how do I catch you'. Self-appraisal is often included so that the employee thinks before the meeting.
- 2. Role clarity and goal setting — where development starts.** People cannot grow if they do not know what 'good work' means. Jointly agreed key result areas and expected behaviours make the later review fair. Unclear jobs make appraisal political. Importance for development: energy is directed, not wasted.
- 3. Diagnosis of strengths and gaps.** Appraisal produces a map: what to use more, what to train, what to coach, whether the problem is skill or something else. This map is the raw material of HRD. Without it, training is a guess and counselling has no agenda.
- 4. Feedback becomes regular, not accidental.** Human beings cannot correct what they never hear. A yearly (and preferably more frequent) review makes feedback official. Importance: the employee's self-image is compared with reality in a structured way, which is the beginning of learning.
- 5. The development plan is the heart of importance.** Every HRD appraisal should end with two or three concrete actions — a course, a project, mentoring, a job aid — with dates and a person responsible. If there is no IDP, appraisal has stopped at judgement and has not entered development.
- 6. It feeds other HRD subsystems.** Training needs, career talks, potential reviews and counselling topics come from appraisal. That is why it is often drawn at the centre of an HRD system diagram. Importance is not only the one-hour meeting; it is the information it sends to the rest of HRD.
- 7. Motivation and the boss–subordinate relationship.** Fair recognition of good work motivates. The discussion also develops the dyad (employee and boss), which Unit 1 listed as an HRD goal. A skilled appraisal conversation is itself a developmental experience: the boss practises coaching; the employee practises reflection.
- 8. When appraisal fails as HRD — to show you understand importance.** Forced ranking, surprise ratings, no counselling, and no follow-up teach fear. Then appraisal harms development. Importance exists only if design is developmental: trained managers, time protected, climate of trust, and follow-up. Write this caution so the answer is not naive.

Conclusion. Explain appraisal as a developmental cycle (goals, review, feedback, IDP), not as a salary form. Importance: role clarity, diagnosis, feedback, development planning, links to training and career, motivation, and a stronger boss–subordinate bond. Without developmental appraisal, HRD has no regular organisation-wide engine.